

Amazon.com, Inc.

AMZN NASDAQ

Buy

\$249.16 ▼ 1.73%

12M Price Target
\$295.00

52-Week Range
\$196.00 – \$287.20

Market Cap
\$2.69T

AMZN: AI Spending Debate Weighs, But Fundamentals Intact

WHAT HAPPENED

- AMZN dropped 1.73% on light volume (17M vs the usual 25-35M) — this isn't panic selling, it's more like the market taking a breather. The real story: Anthropic (which Amazon has poured ~\$8B into) warned about AI spending sustainability, and even though Wall Street pushed back, it spooked the whole AI-adjacent complex. Tech sector was down across the board.
- A weird sidebar — Amazon canceled all flights with 21 Air after the Miami crash. Minor operationally but a reminder that Amazon Air is now a real logistics arm, not a side project.

WHY IT MATTERS

Here's what I'm actually thinking: the Anthropic-driven AI spending debate is the key tell. If hyperscalers (the big cloud guys — AMZN, MSFT, GOOG) start guiding CapEx down, AMZN gets hit because AWS growth depends on AI workloads filling those data centers. But the flip side — and this is important — options flow is screaming BULLISH (put/call ratio of 0.55, meaning traders are buying nearly 2x more upside bets than downside protection), with unusual call buying at \$230-232.50 strikes suggesting smart money views any dip as a buying opportunity. The insider selling looks scary at first glance but Bezos's transactions were "OTHER" (likely 10b5-1 planned sales or gifting, not conviction selling), and the executive sales are routine RSU vesting. Bottom line: today's dip is macro noise, not an AMZN-specific problem.

POLICY & POLITICAL WATCH

The big one to watch is the Clarity Act vote (crypto framework) — not directly AMZN but it signals whether this Congress can actually pass tech legislation, which matters because there's a live antitrust case against Amazon from the FTC still grinding through the courts. Second, watch the ongoing tariff situation with China: Amazon's third-party marketplace sellers source heavily from China, and any escalation squeezes their take rate (the commission Amazon charges sellers). Third, federal AI procurement is quietly expanding — AWS has GovCloud contracts that could see a real windfall if the administration's AI infrastructure push translates into agency spending, which would offset any commercial AI slowdown.

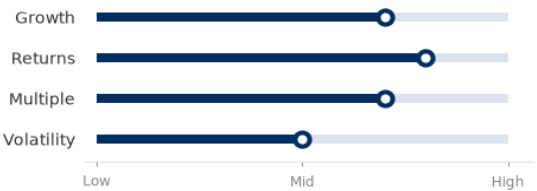
IS IT EXPENSIVE?

At \$249, AMZN trades around 36x forward earnings — meaning you're paying \$36 today for every \$1 of profit expected next year. That sounds pricey, but AWS alone is growing ~17% with 35%+ margins, and the retail business just flipped to meaningfully profitable. Compared to Microsoft at ~32x and Google at ~22x, AMZN isn't cheap — but it's the only one with three distinct growth engines (cloud, ads, retail) all firing. Fair price for a business compounding earnings 20%+.

Key Data

Price (USD)	\$249.16
12M Price Target	\$295.00
Upside / (Downside)	+18.4%
Market Cap	\$2.69T
FY2026E Revenue	\$720M
FY2027E Revenue	\$795M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.10
Fwd P/E	36.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$265.00	\$252.00	\$235.00
6 Months	\$290.00	\$270.00	\$225.00
1 Year	\$320.00	\$295.00	\$210.00
2 Years	\$380.00	\$330.00	\$220.00
5 Years	\$520.00	\$420.00	\$250.00
10 Years	\$800.00	\$600.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2% today, +1.67% for the week) — oil is bid on Middle East tension and the administration's drill-baby-drill posture is friendly to producers. Healthcare quietly green.

COOLING OFF: Industrials (-2.75% for the week) and Tech (-2.09%) — the AI spending debate is hitting semis and hyperscalers, and industrials are pricing in tariff pass-through pain.

ROTATION WATCH: Money is rotating OUT of high-multiple tech into energy and defensive names — classic late-cycle behavior when investors get nervous about growth stocks. If this continues, AMZN gets caught in the downdraft short-term even though its fundamentals are fine.

RELATED PLAY: If you believe AI spending continues, the data center REITs (EQIX, DLR) and power infrastructure names (VRT, ETN) benefit from the same trend without the AMZN-specific risks.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Energy sector leader, benefiting from crude strength and friendlier regulatory backdrop
- QCOM (Qualcomm): Getting attention as an under-owned AI play (per today's news), positioning as the non-hyperscaler way to play device-level AI

AMZN CONTEXT: AMZN is lagging its Mag 7 peers modestly this week but leading them on a 1-year view. That "zero sell ratings" headline today is telling — analysts are unified bullish, which is usually contrarian bearish short-term but supportive medium-term. When sentiment gets THIS uniformly positive, upside surprises are harder to come by.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Solid buy, not a table-pounder. The business is world-class but the setup is more "grind higher" than "explode higher" from here.

POSITION SIZE: 4-6% of portfolio — big enough to matter, not so big that an FTC surprise wrecks you. This is a core holding, not a trade.

ENTRY POINTS: I'd add at \$240-245 on macro-fear days. If we get a real tech selloff and it touches \$225, back up the truck.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for: Q4 earnings (late January) showing AWS growth reaccelerating and confirming the AI demand story is real.

WHEN TO BAIL: AWS growth prints under 15% two quarters in a row, OR the FTC case gets a structural remedy ruling. Either one and I'm trimming hard.

HEDGING: Simplest approach — if you're overweight tech generally, pair AMZN with a small position in an inverse Nasdaq ETF (like PSQ) as insurance. Or just keep 15-20% cash so you have dry powder when the AI-fear dips come.